

The background features a dark brown gradient with several faint, overlapping logos of the Palestinian University of Applied Sciences (PUACP). The logos are circular and contain a stylized emblem with a book and a torch. Wavy lines in shades of orange and yellow sweep across the top of the image.

CREDIT MANAGEMENT

Introduction

- Price is the monetary cost paid by the customers in anticipation of certain benefits.
- The efficient and effective implementation of the policies and tasks that satisfy a retailer's customers, employees and management is known as operations management.
- Operation management covers
 1. Store management
 2. Inventory management and
 3. Credit management.

Introduction

- Credit refers to
 - Short Term Loans & Advances
 - Medium / Long Term Loans
 - Off-Balance Sheet Transactions
- Management refers to
 - Pre-sanction appraisal
 - Documentation
 - Disbursement and Disbursal
 - Post-lending supervision and control

Credit Management

- It is an area of tremendous significance amongst all the operations carried out by a retail outlet.
- It concerns to the operations related to the monetary payment in lieu of products offered and services rendered by the retail organisation.
- Aspects of credit management
 - Form of payment
 - Credit card administration
 - Customer eligibility requirement
 - Terms of credit
 - Recovery of late payments & non payments.

Aspspects of Credit Management

- Form of Payment
 - The customer may be allowed to make payment in cash, credit card, debit card, cheques, electronic payment, demand draft or combination of these.
 - The retailer has to take the operational decision regarding forms of payment to be entertained.
 - It should depend upon the cost of accepting the mode of payment and the convenience it offers to customers.

Aspects of Credit Management

- Credit Card Administration:
 - Large retail chains have the option of either operating its own credit system or accepting major credit cards.
 - A retailer can also choose to have both the systems.
- Customer Eligibility Requirements:
 - The ability of the credit to generate additional revenue has to be weighed against the cost of enabling credit and procuring payment.
 - The cost may be incurred due to customer screening, collection costs, bad debts etc.
 - As a part of credit management policy, a retail organisation should identify the customer parameters like monthly household income, address details, employment details etc.

Aspects of Credit Management

- Terms of Credit:
 - A retail outlet with its own credit system needs to convey to the customer various terms associated with credit facility.
 - The rate of interest, the EMI, duration of credit etc should be communicated to the customers.
- Recovery of late Payment & Non-payment
 - To reduce bad debts certain steps need to be taken.
 - Depending upon outside collection agency is not always advisable.
 - Supreme Court judgement came out against using strong arm tactics to recover dues.